Unit -I: Introduction to Intellectual Property

Introduction to Intellectual Property

Intellectual Property is a field of law that aims to protect the knowledge create through human effort in order to stimulate and promote further creativity

- Authors – Writes books
- Musicians – Compose songs
- Pharma Company – Develop drugs

Unless assured, they cannot be developed further

By the intellectual property, the public as well benefits not only creators

On the other hand intellectual property is given complete rights to owner, a monopoly can be there in the market by charging excessive prices for invention/work which would harm public.

Properties

Real Property	**Personal Property**	**Intellectual Property**
➢ Land ➢ Real Estate	➢ Jewellery ➢ Cars ➢ Artwork	(Also referred as Industrial Property) ➢ Human Creativity literature ➢ Slogans ➢ Songs ➢ New scientific inventions

Meaning of Intellectual Property

Intellectual Property includes

- ❖ Original Ideas
- ❖ Research results
- ❖ Critical business information

IP emanates from human creative labour

Intellectual Property	Real Property
Intangible Understands the boundaries of private space Ex: • Patents • Copyrights • Trademarks • Industrial Rights	Tangible Have real boundaries Ex: • Land • Building • Cash • Jewellery

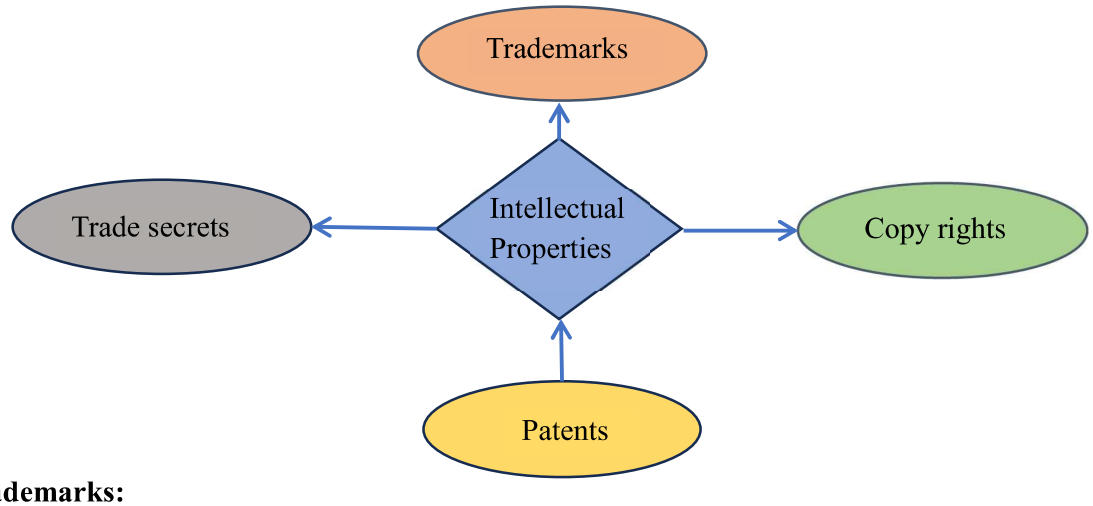
- ✓ Intellectual property rights are legal rights are given to individual/groups as a privilege who have created something with their intellectual creativity

- ✓ Individuals/ creators can be granted such rights that can be used in business practices related to areas such as literature, music, invention, etc.
- ✓ The creator/inventor gets exclusive rights against any misuse without his/her prior information. However the rights are granted for a limited period of time to maintain equilibrium
- ✓ IP is a intangible creation

  Examples:- 1. Authors copyright on a book/ article
  2. A distinctive logo design representing soft drink
  3. Unique design elements of a website
  4. Patent on a process to manufacture chewing gum – trade secret
- ✓ IPR is legal rights given to people over creation

  IPR refers to creations of the mind
  - ❖ Inventions
  - ❖ Literary and artistic works
  - ❖ Symbols
  - ❖ Names
  - ❖ Images
  - ❖ Designs ….

Types of Intellectual properties:



Trademarks:

- ✓ Trademark/Service mark is a word, name, symbol, device
- ✓ Indicates a source, quality and ownership of product or service
  - ❖ Trademark is used in marketing of a product (Eg: REEBOK)
  - ❖ Servicemark is used in identifies a service (eg: STARBUCKS)
- ✓ It distinguishes the products/services of one person from another
- ✓ Companies expend a great deal of time, effort and money in establishing consumer recognition and confidence in their marks.
- ✓ A chain of clothing stores could not obtain a registered trademark for Clothing goods as it is generic
- ✓ Marks may not be protectable if they are generic in nature or merely descriptive

- ✓ Marks that are protectable are those that are
    - Coined (Eg: KODAK)
    - Arbitrary (Eg: Shell)
    - Suggestive (Eg: STAPLES)
- ✓ Trademarks are generally protected from their date of first public use
- ✓ Registration of a mark is required to secure protection of mark as it offers numerous advantages such as bringing an action to the courts notice on infringement of mark
- ✓ A trademark registration is valid for 10 years and may be renewed for additional 10year period thereafter as long as the mark in use
- ✓ Registrants has to file an affidavit between fifth and sixth years after registration and every 10 years to verify the mark is in continued use.
- ✓ Marks are not in use are then available to others
- ✓ A properly selected, registered and protected mark can be of great value to a company or individual desiring to establishing and expand market share.

Copyrights:

- ❖ Copyright is a form of protection granted to authors of original works of authorship
- ❖ Eg:
    - Books
    - Songs
    - Jewellery
    - Movies
    - Sculptures
    - Paintings
    - Choreographic works
    - Computer software
- ❖ Copyright protection is available for more than merely serious works of fiction or art.
    - Marketing materials
    - Advertising copy
    - Cartoons
- ❖ Certain works are not protectable by copyrights suchas
    - titles,
    - names,
    - short phrases or
    - list of ingredients

similarly, Ideas, methods and processes are not protectable by copyright

- ❖ Copyright protection exists automatically from the time a work is created in fixed form
- ❖ The owner of copyright has the
    1. Right to reproduce
    2. Prepare derivative works based in original works (eg: sequels)
    3. Distribute copies of work
    4. Perform and display the work

- ❖ Violating the rights are protected by infringement actions
- ❖ Fair use – Use of insignificant work/portion of work for non-commercial use purposes or parody of copyrighted work.
- ❖ Copyrighted works are automatically protected from the moment of their creation for a term generally enduring for the authors life plus and additional 70 years after the authors death.
- ❖ After which the work will fall into the public domain and may be reproduced, distributed or performed by anyone.
- ❖ From the time of creation in a fixed form the copyrights are issued to the authors after registration process.

Patents:

- A patents isa grant from the government that permits its owner to prevent others from marketing using selling/importing an invention

PATENTS

Utility Patents	**Design Patents**	**Plants Patents**
Most common patents which cover useful inventions and discoveries Type Writer Automobile Genetically alternative	Which discovers new original and ornamentals designs for articles Furniture	Which cover new and distinct asexually reproduced plant varieties Hybrid flowers Hybrid plants

- Plant protection is available only for novel and non-obvious inventions
- Generally patent law prohibits the patenting of an invention that is merely an insignificant addition to or minimize alteration of something already known
- Some items cannot be protected by patent, such as pure scientific principles and natural bodies
- To obtain a patent, an inventor must file an application with the PTO that fully describes the invention
- Patent process is an expensive, time consuming and complex process and it takes about three years to issue a patent
- For utility patents and plant patents, patent protection exists for 20 years from the date of filing of application. For design patents, patent protection exists for 14 years
- After this period of time, the invention falls into public domain and may be used by any person without permission
- Patents promote the public good in that patent protection incentivizes inventors
- Patent law maintains a balance between the need to protect the inventors and the need to allow public access to important discoveries.

Trade Secrets:

- ➢ Trade secret consists of any valuable business information that, if known by competitor would afford the competitor some benefit or advantage

- There is no limit to the type of information that can be protected as trade secrets
    - Recipes
    - Marketing plans
    - Financial Projections
    - Methods of conducting business
- There is no requirement that a trade secret be unique or complex; thus, something as simple and non-technical as a list of customers can qualify as a trade secret as long as it affords its owner a competitive advantage and is not common knowledge.
- If a trade secret were not protectable, companies would have no incentive to invest time, money and effort in research and development that ultimately benefits the public.

Importance of Intellectual property rights

- People have realized the importance of protecting intellectual property assets.
- Some individuals and companies offer only knowledge
    - Computer consultants
    - Advertising agencies
    - Internet companies
    - Software implements

  } Sell only brain power
- International IP alliance estimates that total copyright industries accounts for 11% GDP in 2007 and more than 11 million workers are employed.
- ≈ nearly 126 Billion US $ exports now depend in some form of intellectual property including pharmaceuticals, motor cycles/vehicles, aircrafts… etc.
- Challenges in the field of IPR with the increased rapidity of information exchange through internet. Eg. In 2010 Avtar was the film illegally downloaded most often
- Books, movies, songs can now be copied, infringed and solid illegally with the touch of a keystroke.
- The office of the united states trade representative has estimated that 200-250 US $ Bn loose annually from piracy and other IP infringements.
- The value of trademarks and service marks owned by the cocacola company is estimated to be 70 $Bn making it worlds most valuable brand.
- The field of intellectual property law aims to protect the value of such investments.

International Organizations:

- WTO (World trade Organization)
- WIPO (World Intellectual Property Organization)
- USPTO (Unite States Patent and Trade Mark Office)
- INTA (International Trade Mark Association)

There are number of international organizations and agencies that promote the use and protection of intellectual property.

WTO (World trade Organization)

1. WTO was organized in 1995 and deals with rules of trade among its more than 150 member nations
2. It resolves trade disputes and administers various agreements including those relating to intellectual property. It is headquartered in Geneva, Switzerland and its website is www.wto.org.

WIPO (World Intellectual Property Organization)

1. It was founded in 1970 and is a specialized agency the united nations whose purposes are to promote intellectual promote throughout the world and to administer 24 treaties (eg: Paris convention, Madrid protocol, trade mark treaty law) dealing with intellectual property.
2. More than 180 nations are members of WIPO
3. WIPO is headquartered Geneva, Switzerland and its website is http://www.wipo.net

USPTO (Unite States Patent and Trade Mark Office)

1. The agency charged with granting patents and registering trademarks is the USPTO.
2. It is founded more than 200 years ago and emply more than 10000 emplyees located at 600 Dulany Street, Alexandria, Virginia 22314. Its website is http://www.uspto.gov
3. The USPTO website offers a wealth of information about trademarks and patents, fee schedules, forms and the ability to search and apply for trademarks and patents.

INTA (International trade mark Association)

1. It is nonprofit international association composed chiefly of trademarks owners and practitioners
2. More than 5500 trademark owners and professionals in more than 190 countries belong to INTA, together with others interested in promoting trademarks.
3. INTA offers wide variety of educational seminars and publications including many worthful materials available in http://www.inta.org
4. INTA is located at 655 thord avenue,10th floor, Newyork, NY.

International Conventions, agencies and treaties

- ✓ Paris Convention
- ✓ Berne Convention
- ✓ Madrid Protocol
- ✓ NAFTA (North American Free Trade Association)
- ✓ PCT (Patent cooperation Treaty)
- ✓ GATT (General Agreement on Tariffs and Trade)
- ✓ TRIPS (Trade Related Aspects of Intellectual Property)

Paris Convention:

- One of the first treaties/organizations designed to address trademark protection in foreign countries was Paris convention of 1883.
- It is adopted to facilitate international patent and trademark protection.

- Principle of reciprocity – foreign trademark and patent owners may obtain in a member country the same legal protection and of those member contries
- The paris convention was administered by WIPO.

Berne Convention

- Berne convention was created in 1886 under the leadership of Victor Hugo to protect literary and artistic works at Switzerland
- It has more than 160 member nations
- The united states became a party to Berne Convention in 1989
- The berne convention is administerd by WIPO and is based on the percept that each member nation must treat nationals of other member countries nationals for purpose of copy rights.

Madrid Protocol

- The madrid protocol came into existence in 1996 and allows trademark protection for more than 80 countries including all 27 countries of the European union
- 1891 – Spain it was conducted
- US implemented the terms of the protocol in late 2003.
- The treaty facilitates a one-stop, low-cost, efficient system for the international registration in any number of member countries by filing a single, standardized application.

NAFTA – North American Free Trade Agreement

- The NAFTA came into effect on January 1, 1994 and is adhered to by the United States, Canada and Mexico
- The NAFTA resulted in some changes to US trademark law primarily with regard to marks that include geographical terms.

PCT – Patent Cooperation Treaty

- 1978 – PCT system launched
- PCT international patent system begins operation. The PCT expands rapidly to become WIPO's largest IP filing system internationally today.
- The PCT makes its possible to seek patent protection for an invention simultaneously in each of large number of countries by filing an international patent application.

GATT – General Agreement on Tariffs and trade

- 1947 – Geneva, Switzerland
- It is a legal agreement between many countries whose overall purpose was to promote international trade by reducing /eliminating trade barriers such as tariffs and quotas.
- It remained in effect until 1 Jan 1995 when the WTO was established after agreement by 123 nations.

TRIPS – Trade related aspects of intellectual property

- 1986 – 1994
- TRIPS is administered by WTO and establishes minimum levels of protection that member countries must give to fellow WTO members
- Computer programs must be protected as a copyrightable literary works and countries must prevent misuse of geographical names.